CHAPTER 7

THE ECONOMY AND OTHER ISSUES

I

The Governor of the Reserve Bank is much more than just a regulator or a central banker. Since the RBI is both the lender of last resort, as well as the custodian of the country's foreign exchange reserves, the Governor is the primary manager of macroeconomic risk in the country. If the Governor takes this role seriously, he (or she) has to warn when he fears the economy is in danger of going down the wrong path. As an apolitical technocrat, he can neither be a cheerleader for the government, nor can he be an unconstrained critic. This is a fine line to tread, and the Governor has to pick both the issues he speaks on, as well as the tone of his commentary, very carefully.

The mistake on all sides is to treat the RBI Governor as just another bureaucrat. If the Governor takes this mistaken view, he ends up being subservient to the central and state governments, and not offering an independent technocratic perspective that could keep the nation from straying into economic distress. The RBI Governor has to understand his role, and know it occasionally entails warning of macroeconomic risks from government actions or saying 'No!' firmly.

Every government tests what the RBI Governor will acquiesce to, and ideally, it will not push beyond a point, knowing that the RBI's cautions are worth heeding. If the government takes the mistaken view that the RBI Governor is just another bureaucrat, it will be displeased when it sees the Governor deviating from the usually deferential behaviour of bureaucrats, and it will strive to cut him down to size. This does not serve the country either.

I was determined not to neglect my responsibilities as national risk manager, even while trying to explain to the government of the day why this was a necessary role. Where I had direct responsibility, this meant saying no in private occasionally, even while offering safer alternatives for what the government intended. Where I had indirect responsibility, this meant advising